

Department of Computer Science and Telecommunication Engineering

Year-4, Term-II; Session: 2020-2021

ECO 4201: Principles of Economics

Class Test-01; Marks: 25; Time: 45 minutes

1. True/False.

0.5*20=10

- (i) GDP measures only the total income generated within an economy.
- (ii) GDP includes both legal and illegal market transactions if they generate income.
- (iii) If a firm produces goods but does not sell them, GDP remains unchanged.
- (iv) GDP includes the value of intermediate goods to reflect total production accurately.
- (v) The equality of income and expenditure holds because every transaction has both a buyer and a seller.
- (vi) GDP excludes imputed values because they lack market transactions.
- (vii) The resale of a used car increases GDP because it involves monetary exchange.
- (viii) GDP is a stock variable because it measures accumulated production.
- (ix) Nominal GDP can increase even if actual production does not change.
- (x) Real GDP is unaffected by changes in price levels.
- (xi) GDP includes household production if it contributes to welfare.
- (xii) Transfer payments are included in GDP because they increase household income.
- (xiii) Investment in GDP includes purchases of stocks and bonds.
- (xiv) Imports are subtracted in GDP because they are already included in consumption, investment, or government spending.
- (xv) GDP and GNP differ because one is based on location and the other on ownership.
- (xvi) Depreciation is added to GNP to obtain NNP.
- (xvii) Personal Income includes retained corporate earnings.
- (xviii) Disposable Personal Income reflects income available after taxes.
- (xix) GDP deflator measures only quantity changes in the economy.
- (xx) Inflation rate derived from GDP deflator reflects economy-wide price changes.

2. Fill in the blanks.

0.5*10=5

- (i) The key identity in national income accounting is _____ = _____.
- (ii) Market prices are used in GDP to reflect _____.
- (iii) Inflation is defined as a sustained increase in _____.
- (iv) GDP measures _____ flows in the circular economy.
- (v) Owner-occupied housing is included in GDP through _____ values.

3. Answer the following questions in a single sentence each.

1*5=5

- (i) Why is GDP considered a flow variable rather than a stock variable?
- (ii) Explain the paradox of Tom paying Jerry vs marrying Jerry.
- (iii) Why are financial assets excluded from GDP?
- (iv) Explain the difference between nominal GDP and real GDP.
- (v) Why do economists prefer real GDP growth rate over nominal GDP growth?

4. (a). Using the expenditure approach $Y=C+I+G+NX$, analyze the following conceptual cases:

- i) Purchase of a new house
- ii) Government unemployment benefits
- iii) Purchase of imported goods

For each case, determine whether and how it enters GDP, providing justification.

- (b). Explain how economists distinguish between nominal GDP, real GDP, and GDP deflator.

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not
yet